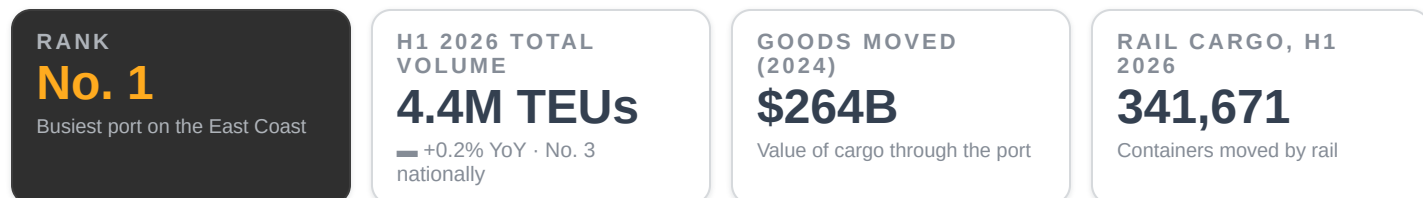


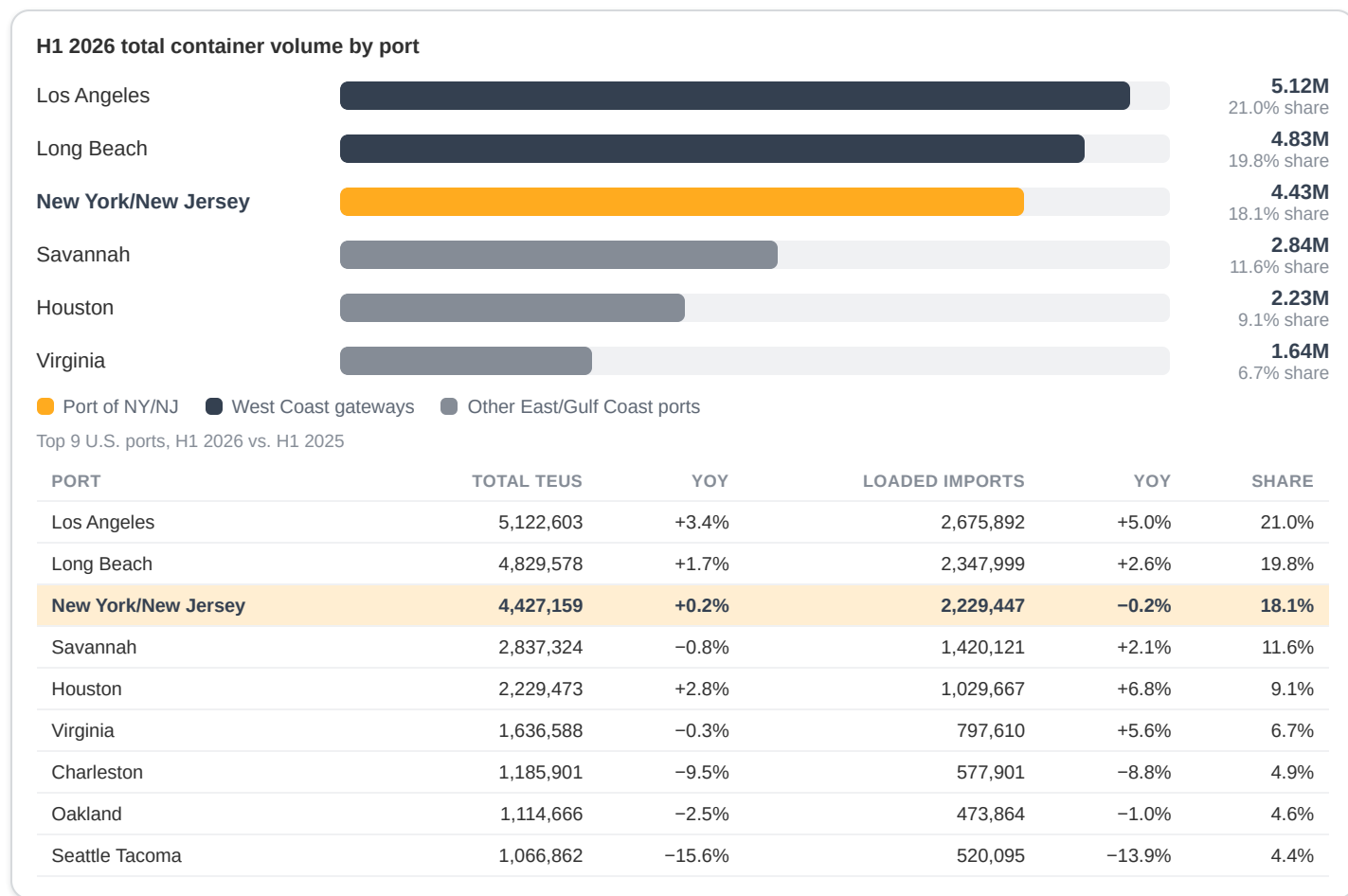
Port of NY/NJ | Why it anchors the Shallow Bay thesis

H1 2026 volume confirms the port's scale as the East Coast's leading gateway — the demand engine behind Faropoint's infill, shallow-bay industrial strategy in Northern New Jersey. Source: Cushman & Wakefield, *H1 2026 Port of New York & New Jersey Report*.



A top-3 gateway, gaining loaded import share

Port of NY/NJ is 1 of only 3 U.S. ports to post more than 2.0M TEUs of loaded import cargo in H1 2026 — and holds 18.1% of top-nine-port volume.



Diverse, durable trade base. The port serves more than 60 million consumers within a 250-mile radius — roughly one-third of U.S. GDP — via a diversified partner base (China, India, Italy, Germany, France) that mitigates any single-lane disruption. The Port Authority is investing to sustain this scale: a U.S. Army Corps of Engineers agreement to evaluate deepening channels to 55 feet, plus a redevelopment of the Newark-Elizabeth complex's northern entrance.

Port Region | Where port volume becomes real estate demand

The Port Region is the largest industrial submarket in Northern New Jersey — and the clearest illustration of why infill, shallow-bay space commands a premium closest to the port.

PORT REGION INVENTORY

84.1 msf

Largest warehouse submarket in Northern NJ

H1 2026 LEASING

1.9 msf

▲ +9.8% YoY

VACANCY RATE

12.5%

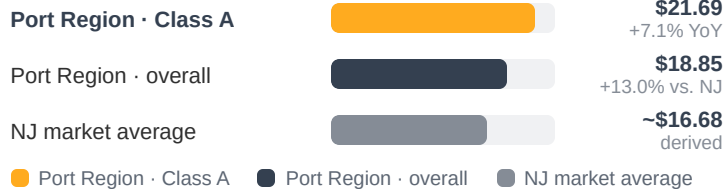
▲ +110 bps QoQ · new supply-driven

PORT REGION ASKING RENT

\$18.85/SF

Highest in New Jersey — 13.0% above market

Asking rent hierarchy, Port Region vs. NJ



NJ market average of ~\$16.68/SF is derived from the stated 13.0% Port Region premium. Class A rent +7.1% YoY despite rising overall vacancy — modern, well-located space keeps pricing power.

Notable H1 2026 leasing

Ready Warehousing & Logistics — 92,000 SF new lease, 100 Lincoln Highway, Kearny

iCube Global — +78,142 SF expansion, 169 Pulaski St, Bayonne (adds to a 255,069 SF 2025 lease)

HelloFresh — 352,100 SF renewal, 60 Lister Ave, Newark

YTD renewal volume: **832,008 SF**, +24.5% YoY

Why rent growth concentrates in 20,000–100,000 SF buildings

Bulk space over 50K SF actually posted the fastest rent growth since 2019 — then the supply it attracted pushed its rents into decline. Shallow-bay space grew more moderately and is still positive, because the same construction economics that limit its supply also limit how far its rents can fall.

Asking rent CAGR since 2019, by lease size band



"Now" = current annual asking-rent change per CoStar, Q1 2026 — shown to make the point that cumulative growth and current direction have diverged.

Source: CoStar, U.S. industrial asking rent growth has moderated across lease size ranges.

4.2% vs. 7.5%

Small-bay (<50K SF) vacancy vs. industrial overall — CoStar, Q1 2026

<2% of 29–36%

Share of construction pipeline vs. share of existing inventory

\$160–220/SF

Development cost — doesn't pencil below ~75,000 SF, capping new small-bay supply

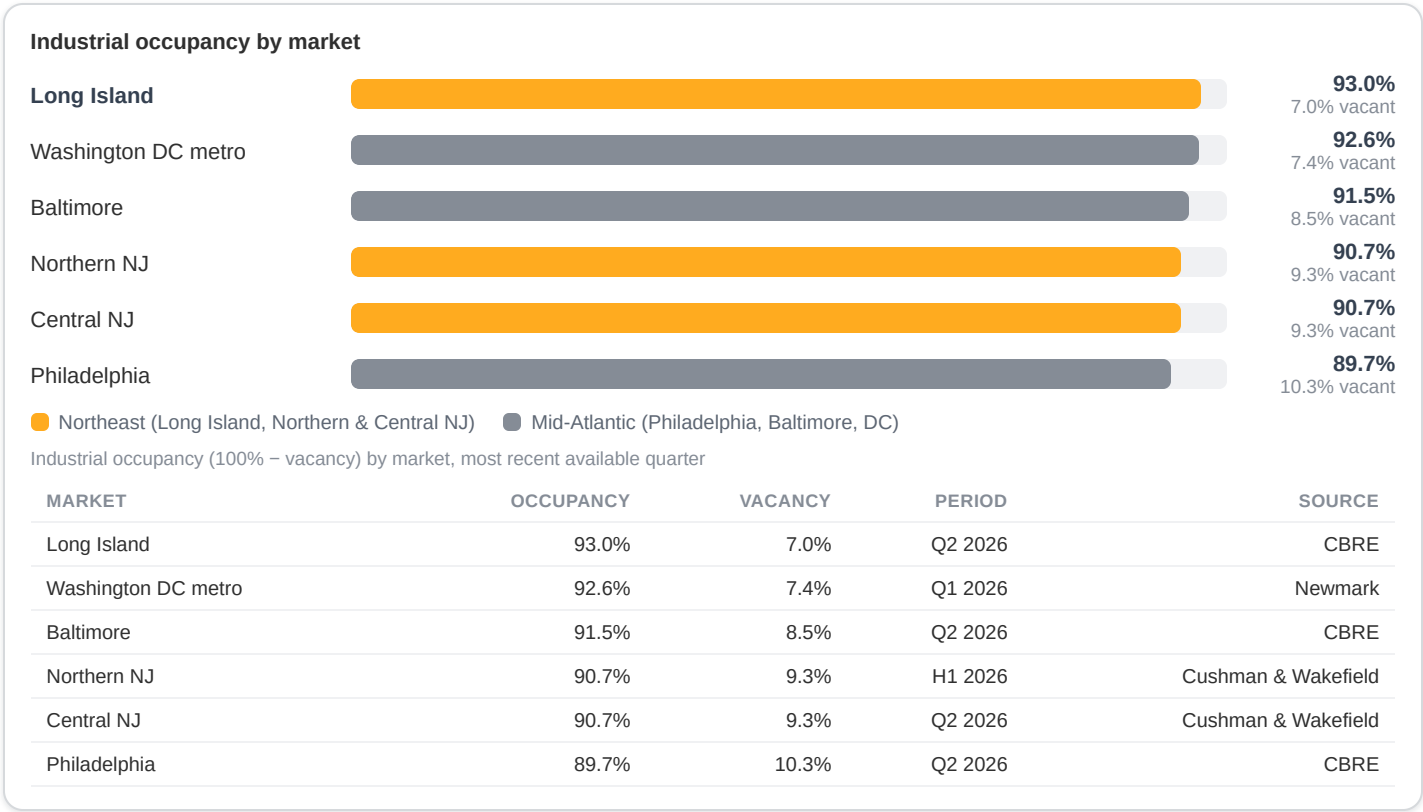
Small-bay demand grew ~20% over the past decade while supply grew just 3% (CoStar) — the structural gap behind both the historical rent gain and its current resilience. Sources: Cushman & Wakefield H1 2026 Port of New York & New Jersey Report; CoStar, U.S. industrial asking rent growth has moderated across lease size ranges (Q1 2026); CBRE small-bay research.

Beyond the Port Region | The thesis holds across the corridor

Occupancy strength isn't unique to Northern New Jersey — it holds in a tight band from Long Island through the Mid-Atlantic, the same corridor where Faropoint has been deploying capital across Funds II–IV and ISLB.

Occupancy across the corridor

Six markets, one narrow band: 89.7%–93.0% occupied. Long Island and Washington DC currently run tighter than the Port Region submarkets; Philadelphia is the loosest of the six — still a healthy market, not a weak one.



Faropoint's Northeast & Mid-Atlantic deployment

TOTAL DEPLOYED

TRANSACTIONS

BUILDINGS ACQUIRED

AVG. DEAL SIZE

AVG. BUILDING SIZE

Pending confirmation. No connected data source in this session holds transaction-level acquisition totals for Funds II–IV and ISLB across the Northeast/Mid-Atlantic — monday.com returned no matching board, and NetSuite is available as a connector but not enabled in this chat. Populate this row from Corporate Finance / FarOS before circulating to LPAC.

The Shallow Bay thesis | Six structural drivers, not one

Port proximity is one input, not the whole case. The format's durability comes from land economics, tenancy structure and ownership fragmentation that hold regardless of any single trade cycle.

1 Last-mile, not just port-adjacent

Final-mile parcel and distribution demand is driven by dense population and same-day delivery expectations — a driver independent of ocean-freight cycles.

2 Land that can't be replaced

Zoning, entitlement and land cost in built-out metros make new shallow-bay supply structurally scarce. National vacancy for buildings under 100K SF: ~4.8%.

3 Granular, diversified tenancy

Dozens of small, service-oriented tenants per roll — trades, light manufacturing, distribution — spread credit and re-tenanting risk versus one large user.

4 Rents mark to market faster

Shorter average lease terms and below-market in-place rents let owners reprice more often than in single-tenant bulk assets.

5 Fragmented ownership, our entry point

Most shallow-bay stock is owned by private, often unlevered individual owners — a durable acquisition pipeline with limited institutional competition.

6 Demand from more than one source

Population growth, reshoring of light manufacturing and local service businesses all draw on the same infill space — insulating it from any single macro shock.

The corridor, mapped: how port flow reaches each market

Positioned by approximate real geography, Long Island through Washington DC. The heat glow behind each market is its vacancy tier — hotter reads tighter. Geography and tightness don't move together: Long Island and DC, at opposite ends of the map, are the two hottest markets.

